

USA: Supreme Court Ruling Supports Fed Independence but Further Challenges Likely

BOTTOM LINE: The Supreme Court ruled that Fed Governor Lisa Cook may remain on the Fed Board while her case proceeds in lower courts. While the 5-4 ruling was closer than expected, most of the dissents were largely focused on procedure. By contrast, the majority opinion went out of its way to signal intent to protect the Fed's independence, reducing the President's ability to fire Fed Board members. That said, some uncertainty remains as the majority states that the ultimate outcome of the Cook case "will depend in part on the underlying facts in the case."

MAIN POINTS:

1. The Supreme Court ruled 5-4 to deny the Trump Administration's application to stay a preliminary injunction against Fed Governor Lisa Cook's firing in August 2025. This allows Cook to remain in her seat on the Fed board while the case proceeds at the District Court level.
2. The 5-4 split was closer than expected following what seemed to be a near-consensus on the Court in January oral arguments. However, two factors suggest more support for Fed independence on the court than the 5-4 split implies. First, the majority went out of its way to signal intent to protect independence, writing "the Court declines to sow doubt as to the status of one of the Nation's (and the world's) most important financial institutions" and that the key issue is "whether the cause assigned truly implies an unfitness...or whether it simply represents an effort to secure a more congenial replacement." Second, most of the dissenting opinions were primarily focused on procedural matters, suggesting that not all of these justices would necessarily rule against Cook on the merits.
3. This ruling reduces uncertainty regarding Fed independence but does not eliminate it, as Cook's case on the merits will now proceed at the District Court level, and President Trump posted on social media that he intends to pursue it. That process seems likely to take several months, at least. Assuming one side will appeal that ruling, Cook's case seems likely to find its way back to the Supreme Court next year.

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